PERKALATE / BRAND STRATEGY

What a rewards budget actually buys

Size your first pilot around redemptions, fulfillment cost, and a clear comparison.

A rewards budget pays for the value a customer receives. A well-defined pilot links that cost to one behavior, such as a first visit, a return order or an off-peak appointment.

Set the maximum before launch

Multiply the most redemptions you can fulfill by the cost per reward. Include packaging, staff time and any applicable fees. If the number is too high, narrow the audience or cap the redemptions.

Track cost and contribution on the same basis

Count costs across all redemptions. Estimate added orders by comparing a test group with a similar group that didn't see the reward. Use contribution after variable costs when comparing the result with the reward budget.

Change one variable per round

If few people see the offer, change placement. If they see it and rarely claim, improve the offer. If they claim and rarely redeem, simplify fulfillment. Keep a written record so you know what changed.